

July 30, 2026 08:55 AM GMT

Arm Holdings plc | North America

Royalty Growth Weakens

WHAT'S CHANGED		
Arm Holdings plc (ARM.O)	From	To
Price Target	US\$202.00	US\$212.00

Arm's Q1 beat and better guide were overshadowed by slowing royalties growth and a lack of updates longer term for the AGI CPU business. We maintain our Equal-weight rating and, given recent price action, think the stock now better reflects the new CPU opportunity.

Key Takeaways

- AGI CPU sales are now expected \$1bn+ across FY27-28 versus a \$2bn+ pipeline; supply coverage is the key constraint.
- AGI is expanding into head-node and servers as well as agentic workloads, broadening the addressable use case.
- Q2 royalty growth is pressured by smartphone mix; data-centre royalties are the key offset and should more than double y/y.
- Opex remains elevated to fund silicon capability; Q1 under-spend was timing-related, with investment stepping up through FY27.
- After the post-Arm Everywhere re-rating, valuation better discounts the CPU opportunity; TAM, execution, supply and differentiation remain the key debates.

AGI CPU: confidence rises, but supply visibility not yet complete. Management now expects AGI CPU sales to exceed \$1bn over FY27-28, versus c.\$1bn previously, while reiterating a demand pipeline above \$2bn. Customer breadth is improving across the US and China, supplementing existing engagements. The use case is also broadening: management positioned AGI not only for agentic application workloads, but also as a head-node system CPU and for traditional servers. The near-term constraint remains supply rather than demand. Progress is being made across wafers, memory, substrates and test, but management may not be able to confirm full coverage of the \$2bn+ pipeline until the Q3 print. Arm also intends to pass through higher input costs; the degree of customer acceptance remains an execution variable. Following a sharp re-rating since the March 2026 Arm Everywhere event, **we think the stock now better reflects the new CPU opportunity.** Key risks are supply availability, product differentiation versus competing CPU platforms and the power/TCO burden of deploying standalone orchestration CPUs at scale. We retain our c.\$125bn CPU TAM estimate for 2030; our implied Arm revenue estimates remain unchanged.

Royalties: weaker handset mix tempers the near-term setup; data centre remains the structural offset. Management guided to Q2 royalty growth to c.13% y/y, below prior expectations, as handset mix shifts towards mid-tier Android devices from

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Arm Holdings plc (ARM.O, ARM US)				
Semiconductors United States of America				
Stock Rating	Equal-weight			
Industry View	Attractive			
Price target	US\$212.00			
Shr price, close (Jul 29, 2026)	US\$224.89			
52-Week Range	US\$452.70-100.02			
Mkt cap, curr (mn)	US\$231,062			
Net debt (03/27e) (mn)*	US\$(5,435)			
EV, curr (mn)*	US\$228,311			
* = GAAP or approximated based on GAAP				
Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Sales / Revenue (US\$ mn)**	4,920	6,088	8,954	11,637
EBITDA (US\$ mn)**	2,364	2,810	4,675	6,277
EBIT (US\$ mn)**	2,115	2,531	4,545	6,152
EPS (US\$)**	1.77	2.06	3.69	5.13
Prior EPS (US\$)**	-	1.93	3.51	4.91
EPS (US\$)§	1.75	2.15	3.01	3.84
P/E**	85.5	108.9	60.9	43.8
EV/revenue*	32.1	37.1	24.8	18.7
EV/EBITDA**	66.7	80.3	47.5	34.7
EV/EBIT**	74.6	89.1	48.9	35.4
DPS (US\$)	0.00	0.00	0.00	0.00
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	(0.1)	0.7	0.9	1.2
Net debt (US\$ mn)*	(2,751)	(5,435)	(8,865)	(13,277)
Net debt/EBITDA**	NM	NM	NM	NM
RNOA (%)**	41.5	48.1	90.0	105.0
ROE (%)**	27.7	26.9	37.5	37.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
* = GAAP or approximated based on GAAP
e = Morgan Stanley Research estimates

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Arm v8 partners and iOS gains share within premium smartphones. Licensing, expected to grow c.30% y/y, should offset part of the pressure, but the royalty deceleration is likely to disappoint investors positioned for a faster smartphone recovery. Arm v9 and CSS penetration should still support handset royalty growth y/y, but the mix effect is weaker than expected. By contrast, data-centre royalties remain robust: Q1 revenue more than doubled y/y and management expects at least 100% annual growth for the next two to three years, supported by hyperscaler CPUs, NVIDIA's Grace and Vera ramps, and broader DPU/SmartNIC adoption. **We see this as the cleaner structural driver, but it is not yet large enough to fully offset near-term smartphone volatility near term. Arm now guides FY27 royalty growth to the high teens y/y.**

Opex: investment intensity remains elevated as Arm builds silicon capability. Q1 non-GAAP operating expenses were \$733m, up 18% y/y and c.\$27m below guidance due to timing. Q2 opex guidance of c.\$780m is broadly in line with consensus and confirms a continued step-up in R&D. We expect sequential opex growth through the balance of FY27 as Arm funds AGI CPU execution and adjacent silicon opportunities. This is strategically consistent with the scale of the opportunity, but it limits near-term operating leverage and raises the bar for revenue conversion. Arm expects to disclose silicon revenue separately once it reaches at least 10% of group revenue, which it anticipates in FY28. For investors, the key markers are therefore supply-backed AGI orders, evidence of pricing power on higher input costs, and a clearer path from elevated R&D to durable silicon gross profit.

Reiterate EW, PT up to \$212. We make slight adjustments to our model, in line with company guidance on licensing and royalties growth. This marginally increases our FY27 EPS estimate to \$2.06 (prior \$1.93) and FY28 estimate to \$3.69 (prior \$3.51). Maintaining the same valuation framework, this lifts our PT to \$212 (from \$202). We continue to value Arm on an SOTP basis to reflect distinct IP and chip business opportunities. We apply a 50x EV/EBIT multiple to the IP business, toward the upper end of Arm's historical range, reflecting cloud AI as an increasingly important growth driver. We value the chip business at 20x, still at a discount to global chipmakers (low-margin peer), but better reflecting Arm's longer-term growth potential. We remain Equal-weight as, although we like the CPU story, we think the stock already reflects a large part of the 2030 opportunity.

Guidance and Financials

Solid Q1 but no long-term updates

Arm reported a solid print for 1Q27 (April-June quarter), but gave little in the way of update to the longer-term story in CPUs. Instead, the company reiterated \$1bn+ CPU sales over FY27-28 and again suggested demand for c.\$2bn.

1Q27: Sales/EPS for Q1 of \$1.29bn/45c, ahead of consensus, with both licensing and royalties just ahead of the street at \$574m/\$715m (vs \$563m/\$700m expected). Royalties were in line with our estimate, despite what we think would have been robust cloud AI royalties this Q.

2Q27 guide: The guidance to Q2 talked of a sales range of \$1.33-1.43bn (vs. street at \$1.34bn) and EPS of 47c (vs street at 44c), or c.7% ahead at the mid-point. The company is again guiding for strong Q2 opex in line with that expected (c.\$780m non-GAAP), which we think is supportive of long-term development needs.

FY27: The company did not guide on full-year FY27, but did make some framework commentary for modelling, including royalties to grow high teens% with licensing up 25-30% y/y. Opex to grow 5-6% q/q through the rest of the year and SoftBank licensing contribution to be c.\$200m per quarter for the rest of the year (Q1: \$193m).

Exhibit 1: Arm Annual Income Statement

Annual Income Statement	2021	2022	2023	2024	2025	2026	2027e	2028e	2029e
Revenues	2,027	2,703	2,679	3,233	4,007	4,920	6,088	8,954	11,637
Cost of goods Sold	-145	-131	-106	-154	-121	-121	-263	-1,068	-1,757
Gross profit	1,882	2,572	2,573	3,079	3,886	4,799	5,825	7,886	9,880
R&D	-814	-995	-1,133	-1,979	-2,071	-2,776	-3,323	-3,840	-4,356
SG&A	-826	-897	-762	-983	-984	-1,115	-1,234	-1,308	-1,386
Other income/(expenses)	-3	-47	-7	-6	0	-8	0	0	0
EBIT (reported)	239	633	671	111	831	900	1,268	2,738	4,137
Adjusted EBIT	304	731	783	1,382	1,818	2,115	2,531	4,545	6,152
Adjusted EBITDA	505	916	953	1,544	2,001	2,364	2,810	4,675	6,277
Net Financials & other	458	153	0	101	-111	257	336	262	491
PBT (reported)	697	786	671	212	720	1,157	1,604	3,000	4,628
Income Tax	-153	-110	-147	94	72	-253	-177	-420	-648
discont. Ops.	-156	-127	0	0	0	0	0	0	0
Net Income (reported)	388	549	524	306	792	904	1,427	2,580	3,980
Net Income (non-GAAP)	595	663	657	1,307	1,820	1,889	2,226	3,980	5,537
EPS (\$) Adjusted - Basic	0.58	0.65	0.64	1.27	1.73	1.78	2.09	3.73	5.19
EPS (\$) Adjusted - Diluted	0.58	0.65	0.64	1.25	1.71	1.77	2.06	3.69	5.13
DPS (\$)	0.73	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	2021	2022	2023	2024	2025	2026	2027e	2028e	2029e
Sales growth - yy	7%	33%	-1%	21%	24%	23%	24%	47%	30%
Gross margin	92.8%	95.2%	96.0%	95.2%	97.0%	97.5%	95.7%	88.1%	84.9%
EBIT Margin	11.8%	23.4%	25.0%	3.4%	20.7%	18.3%	20.8%	30.6%	35.6%
Adjusted EBIT Margin	15.0%	27.0%	29.2%	42.7%	45.4%	43.0%	41.6%	50.8%	52.9%
EBITDA Margin	21.7%	30.3%	31.4%	8.4%	25.3%	23.4%	25.4%	32.0%	36.6%
Adjusted EBITDA Margin	24.9%	33.9%	35.6%	47.8%	49.9%	48.0%	46.2%	52.2%	53.9%
PBT margin	34.4%	29.1%	25.0%	6.6%	18.0%	23.5%	26.3%	33.5%	39.8%
Net margin (reported)	19.1%	20.3%	19.6%	9.5%	19.8%	18.4%	23.4%	28.8%	34.2%
Net margin - Adjusted	29.4%	24.5%	24.5%	40.4%	45.4%	38.4%	36.6%	44.5%	47.6%
Effective tax rate	-22%	-14%	-22%	44%	10%	-22%	-11%	-14%	-14%

Source: Company data, Morgan Stanley Research estimates (e). Note: March year-end.

Exhibit 2: Arm Quarterly Income Statement

Quarterly Income Statement	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27e	3Q27e	4Q27e	2027e
Revenues	1,053	1,135	1,242	1,490	4,920	1,289	1,412	1,606	1,781	6,088
Cost of goods Sold	-30	-29	-30	-32	-121	-36	-50	-58	-119	-263
Gross profit	1,023	1,106	1,212	1,458	4,799	1,253	1,362	1,548	1,661	5,825
R&D	-650	-691	-737	-698	-2,776	-838	-791	-824	-870	-3,323
SG&A	-259	-252	-284	-320	-1,115	-317	-298	-305	-314	-1,234
Other income/(expenses)	0	0	-6	-2	-8	-7	0	0	0	0
EBIT (reported)	114	163	185	438	900	91	274	419	477	1,268
Adjusted EBITDA	472	522	568	802	2,364	606	674	817	947	2,810
Net Financials & other	32	139	43	43	257	162	47	61	66	336
PBT (reported)	146	302	228	481	1,157	253	320	480	543	1,604
Income Tax	-16	-64	-5	-168	-253	17	-45	-67	-82	-177
disc. Ops.	0	0	0	0	0	0	0	0	0	0
Net Income (reported)	130	238	223	313	904	270	276	413	462	1,427
EPS (\$)	0.12	0.22	0.21	0.29	0.85	0.25	0.26	0.39	0.43	1.34
EPS (\$)	0.12	0.22	0.21	0.29	0.85	0.25	0.26	0.38	0.43	1.32
Adjusted EPS (\$)	0.35	0.39	0.43	0.60	1.78	0.45	0.50	0.63	0.72	2.09
Adjusted EPS (\$)	0.35	0.39	0.43	0.60	1.77	0.45	0.50	0.62	0.72	2.06
DPS (\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	1Q26	2Q26	3Q26	4Q26	FY26	1Q27	2Q27e	3Q27e	4Q27e	FY27e
Sales growth - qq		7.8%	9.4%	20.0%		-13.5%	9.5%	13.8%	10.8%	
Gross margin	97.2%	97.4%	97.6%	97.9%	97.5%	97.2%	96.5%	96.4%	93.3%	95.7%
EBIT margin (reported)	10.8%	14.4%	14.9%	29.4%	18.3%	7.1%	19.4%	26.1%	26.8%	20.8%
EBIT margin - Adjusted	44.8%	46.0%	45.7%	53.8%	48.0%	47.0%	47.7%	50.8%	53.2%	46.2%
EBITDA margin	13.9%	26.6%	18.4%	32.3%	23.5%	19.6%	22.7%	29.9%	30.5%	26.3%
Net margin (reported)	12.3%	21.0%	18.0%	21.0%	18.4%	20.9%	19.5%	25.7%	25.9%	23.4%
Net margin - Adjusted	-11%	-21%	-2%	-35%	-22%	7%	-14%	-14%	-15%	-11%
Effective tax rate										

Source: Company data, Morgan Stanley Research estimates (e). Note: March year-end.

Exhibit 3: Arm Annual Balance Sheet

Annual Balance Sheet	2021	2022	2023	2024	2025	2026	2027e	2028e	2029e
Cash & cash equivalents	1,171	1,004	1,554	1,923	2,085	2,751	5,435	8,865	13,277
Financial investments	126	631	661	1,000	740	850	830	830	830
Accounts receivables	910	1,124	999	781	1,107	1,300	1,582	2,110	2,595
Inventory	0	0	0	0	0	0	63	374	863
Contract assets	81	166	154	336	642	977	427	492	582
Prepays & Other	203	167	169	157	256	358	356	448	524
Total current assets	2,491	3,092	3,537	4,197	4,830	6,236	8,693	13,119	18,670
PP&E	259	188	185	215	394	841	1,230	1,786	2,346
Goodwill & Other Intangibles	1,870	1,841	1,758	1,777	1,771	1,853	1,794	1,781	1,769
Equity method investments	1,560	736	723	741	565	387	589	589	589
Financial receivables, net									
Deferred tax assets	90	135	139	282	401	375	425	425	425
Other non-current assets	609	518	524	715	971	1,011	972	972	972
Total non-current assets	4,388	3,418	3,329	3,730	4,102	4,467	5,010	5,553	6,101
Total assets	6,879	6,510	6,866	7,927	8,932	10,703	13,703	18,672	24,771
Short-term debt									
Accounts Payable	55	57	65	26	62	0	167	660	787
Provisions (Contract liabilities)	459	365	319	225	239	333	396	607	673
Income tax payable	4	129	162	147	124	106	123	200	222
Other current liabilities (incl accrued li)	633	844	817	1,107	535	601	1,051	1,108	1,155
Total current liabilities	1,151	1,395	1,363	1,505	960	1,040	1,738	2,575	2,838
Long-term debt									
Pensions and commitments									
Deferred tax liabilities	317	279	262	135	41	39	23	23	23
Provisions (Contract liabilities)	1,028	1,022	1,000	911	1,018	1,145	1,162	1,162	1,162
Other non-current liabilities (incl accru	333	266	190	81	105	193	174	174	174
Total non-current liabilities	1,678	1,567	1,452	1,127	1,164	1,377	1,359	1,359	1,359
Total liabilities	2,829	2,962	2,815	2,632	2,124	2,417	3,097	3,934	4,197
Total net assets	4,050	3,548	4,051	5,295	6,808	8,286	10,607	14,738	20,574
Total equity	4,050	3,548	4,051	5,295	6,808	8,286	10,607	14,738	20,574
Net debt:									
Total Debt	0	0	0	0	0	0	0	0	0
Total "Cash"	1,171	1,004	1,554	1,923	2,085	2,751	5,435	8,865	13,277
Net cash/(debt)	1,171	1,004	1,554	1,923	2,085	2,751	5,435	8,865	13,277

Source: Company data, Morgan Stanley Research estimates (e). Note: March year-end.

Exhibit 4: ARM Valuation Matrix and Ratio Analysis

Valuation Matrix (\$m)	2021	2022	2023	2024	2025	2026	2027e	2028e	2029e
Share Price (\$)	51.0	51.0	51.0	237.0	237.0	237.0	237.0	237.0	237.0
Number of Shares (m)	1,025	1,025	1,025	1,027	1,050	1,061	1,066	1,066	1,066
Market Cap (\$m) - average	52,287	52,287	52,287	243,504	248,850	251,398	252,642	252,642	252,642
Net debt/(cash) (\$m) - average	-1,171	-1,004	-1,554	-1,923	-2,085	-2,751	-5,435	-8,865	-13,277
Enterprise Value (\$m) - average		51,283	50,733	241,581	246,765	248,647	247,207	243,777	239,365
P/E (x)	87.8	78.9	79.6	189.4	138.4	134.0	114.8	64.2	46.2
P/E FY1 (x)	78.9	79.6	40.8	138.4	134.0	114.8	64.2		
Price/book value (x)		14.7	12.9	46.0	36.6	30.3	23.8	17.1	12.3
Price/FCF (x)	51.6	146.5	92.2	-2705.6	-200.4	-2440.8	142.3	118.2	84.9
EV/Sales (x)	0.0	19.0	18.9	74.7	61.6	50.5	40.6	27.2	20.6
EV/Sales FY1 (x)	0.0	19.1	15.7	60.3	50.2	40.8	27.6		
EV/EBITDA (x)	0.0	56.0	53.2	156.5	123.3	105.2	88.0	52.2	38.1
EV/EBITDA FY1 (x)	0.0	53.8	32.9	120.7	104.4	88.5	52.9		
EV/IC (x)	0.0	16.6	17.6	87.9	76.9	62.3	54.9	45.2	35.3
Dividend yield	1.4%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
FCF yield	1.9%	0.7%	1.1%	0.0%	-0.5%	0.0%	0.7%	0.8%	1.2%
<u>Per share data (\$):</u>									
EPS - Diluted	0.6	0.6	0.6	1.3	1.7	1.8	2.1	3.7	5.1
Dividends per share	0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
FCF per share	1.0	0.3	0.6	-0.1	-1.2	-0.1	1.7	2.0	2.8
Book value per share		3.5	4.0	5.2	6.5	7.8	10.0	13.8	19.3
Ratio Analysis	2021	2022	2023	2024	2025	2026	2027e	2028e	2029e
ROCE		12%	12%	2%	10%	9%	11%	17%	19%
ROIC	17%	25%	28%	2%	23%	30%	34%	60%	72%
ROE		15%	13%	6%	12%	11%	13%	18%	19%
Interest cover (x)	-	-	-	-	-	-	-	-	-
Cash Conversion	2.4	0.5	0.8	0.7	-0.1	0.6	1.3	0.9	0.8
Net debt/Equity	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Dividend/FCF	74%	0%	0%	0%	0%	0%	0%	0%	0%
Payout ratio (DPS/EPS)	126%	0%	0%	0%	0%	0%	0%	0%	0%
Capex/Sales	5%	1%	2%	3%	5%	11%	11%	7%	6%
<u>yy growth:</u>									
Sales growth		33.3%	-0.9%	20.7%	23.9%	22.8%	23.7%	47.1%	30.0%
EBIT growth		164.9%	6.0%	-83.5%	648.6%	8.3%	40.9%	115.9%	51.1%
EBITDA growth		81.4%	4.0%	62.0%	29.6%	18.1%	18.9%	66.3%	34.3%
EPS growth		11.4%	-0.9%	95.3%	36.8%	3.3%	16.7%	78.8%	39.1%
FCF growth		-64.8%	58.8%	-115.9%	1280.0%	-91.7%	-1823.4%	20.4%	39.3%
Dividend growth		0.0%	na	na	na	na	na	na	na
<u>Margin structure:</u>									
Gross margin	92.8%	95.2%	96.0%	95.2%	97.0%	97.5%	95.7%	88.1%	84.9%
EBIT margin	11.8%	23.4%	25.0%	3.4%	20.7%	18.3%	20.8%	30.6%	35.6%
EBITDA margin	24.9%	33.9%	35.6%	47.8%	49.9%	48.0%	46.2%	52.2%	53.9%
PBT margin	34.4%	29.1%	25.0%	6.6%	18.0%	23.5%	26.3%	33.5%	39.8%
Net margin	19.1%	20.3%	19.6%	9.5%	19.8%	18.4%	23.4%	28.8%	34.2%

Source: Company data, Morgan Stanley Research estimates (e). Note: March year-end; n/a = not applicable.

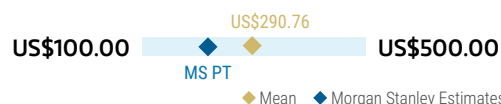
Risk Reward – Arm Holdings plc (ARM.O)

Transition stage as Arm moves into chips

PRICE TARGET US\$212.00

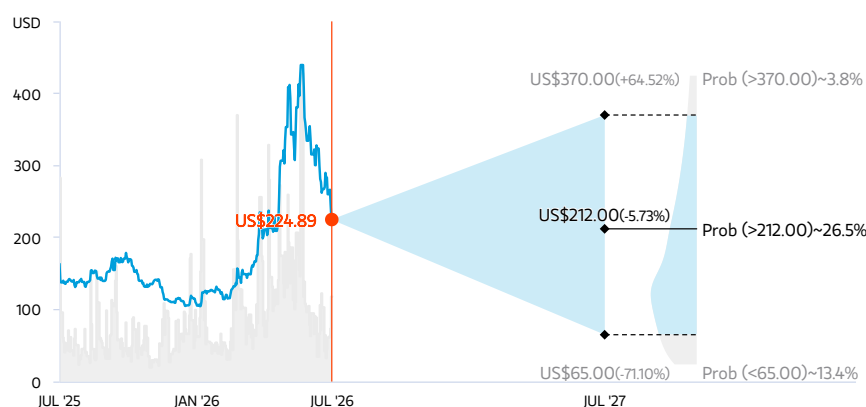
We value Arm on a sum-of-the-parts basis, given the emergence of the new chip business. We apply a 50x EV/EBIT multiple to the IP business (at the upper end of the historical IP valuation range) and a 20x multiple to the chip business (a discount to global chipmakers but reflective of growth potential). Discounting FY29 at an 11% WACC, this implies a valuation of \$212.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



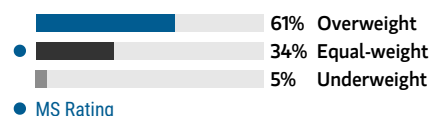
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 29 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

Arm is the silicon IP leader with 60%+ share of global semiconductor IP sales, including a ubiquitous position in smartphones. Upside revolves around structural growth opportunities in edge/cloud AI, PCs & autos including share gain, royalty rate inflections as customer designs shift to Arm's v9/CSS architecture and upside from the chip transition. We model a c.31% EPS CAGR over FY24-28 amidst the shift to chipmaking. Downside risks include outstanding litigation, geopolitical uncertainty, competition and slowing future China sales.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
Pricing Power: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$370.00

Market de-risks and moves to valuing Arm on FY31

Arm could see better gains than modelled, especially in the infrastructure segment, driven by AI and general cloud growth, as well as a more uniform transition to higher royalty rates than modelled. Near-term upside from the chip business, with greater value in the outer years. We value the business on FY31 and apply a 20x EV/EBIT multiple to the chip business and 50x multiple to the IP business.

BASE CASE

US\$212.00

Long-dated chip business emergence

We value Arm on a sum-of-the-parts basis, given the emergence of the new chip business. Earnings growth is slowing as the company builds out its engineering presence ahead of its new chip strategy. We apply a 50x EV/EBIT multiple to the IP business and a 20x multiple to the chip business. Discounting FY29 at an 11% WACC, this gives us a price target of \$212.

BEAR CASE

US\$65.00

Risk factors impact; no chip impact

Key downside risks include (i) loss-making chip business, (ii) weaker royalty rates in key end markets, (iii) the business impact from an unfavourable litigation outcome and (iv) loss of share to competitors in growing end markets. As such, macro headwinds, slowing AI growth and no upside for the chip business would imply a bear case of \$65.

Risk Reward – Arm Holdings plc (ARM.O)

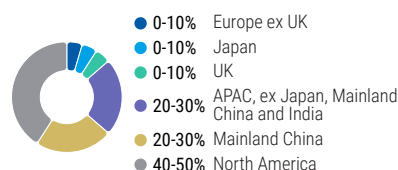
KEY EARNINGS INPUTS

Drivers	Dec 2026	Dec 2027e	Dec 2028e	Dec 2029e
Sales growth - yy (%)	22.8	23.7	47.1	30.0
Gross margin (%)	97.5	95.7	88.1	84.9
EBIT Margin (%)	18.3	20.8	30.6	35.6

INVESTMENT DRIVERS

- Strong portfolio positioned for growth (Neoverse, v9)
- Arm on a long-term journey to higher returns
- Structural growth opportunities in automotive and AI
- Competition from emerging open-source ecosystems
- Licensing growth to slow over medium term

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Arm Neoverse and AI-related compute may ramp up beyond levels modelled
- Higher royalty rates in mobile, PCs and autos
- Better cost control beyond that forecast
- Further long-term CSS commitments with key customers
- Launch of v10 architecture or cloud GPU cores

RISKS TO DOWNSIDE

- New entrant & established competitors
- Reliance on smartphone royalties
- Uncertainty around revenues from China JV
- Outstanding litigation risks

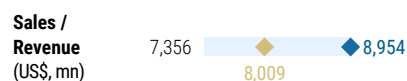
OWNERSHIP POSITIONING

Inst. Owners, % Active	74.6%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Arm Holdings plc (ARM.O) - As of 07/30/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 11/10/23 : E/I; 12/7/23 : E/A; 7/19/24 : O/A; 4/7/26 : E/A

Price Target History: 11/10/23 : 55; 2/9/24 : 107; 7/19/24 : 190; 8/1/24 : 175; 3/28/25 : 150; 7/28/25 : 194; 7/31/25 : 180; 10/9/25 : 171; 11/6/25 : 180; 1/23/26 : 135; 4/7/26 : 150; 5/1/26 : 191; 5/7/26 : 202

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	US\$429.56
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	US\$13.99
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	US\$42.21
Ambarella Inc (AMBA.O)	O (03/29/2016)	US\$69.19
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	US\$42.73
Analog Devices Inc. (ADI.O)	O (11/16/2023)	US\$353.37
Astera Labs Inc (ALAB.O)	O (05/11/2025)	US\$249.74
Broadcom Inc. (AVGO.O)	O (06/09/2024)	US\$370.32
Cerebras Systems (CBRS.O)	O (06/08/2026)	US\$169.39
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	US\$47.07
Intel Corporation (INTC.O)	E (02/22/2023)	US\$81.88
IonQ Inc (IONQ.N)	E (04/25/2023)	US\$31.99
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	US\$163.40
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	US\$71.37
Micron Technology Inc. (MU.O)	O (10/06/2025)	US\$739.00
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	US\$9.74
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	US\$190.01
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	US\$240.98
ON Semiconductor Corp. (ON.O)	++	US\$78.86
Qorvo Inc (QRVO.O)	E (10/28/2025)	US\$89.50
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	US\$155.68
Quantinuum (QNT.O)	E (06/29/2026)	US\$47.34
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	US\$1,015.89
Semtech Corp. (SMTC.O)	E (04/06/2025)	US\$103.55
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	US\$216.44
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	US\$61.19
Texas Instruments (TXN.O)	U (04/13/2020)	US\$271.30
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	US\$20.06

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Arm Holdings plc (ARM.O)	E (04/07/2026)	US\$224.89
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	US\$332.76
Synopsys Inc. (SNPS.O)	E (02/27/2026)	US\$373.69

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* Historical prices are not split adjusted.